

Need for Stock Market

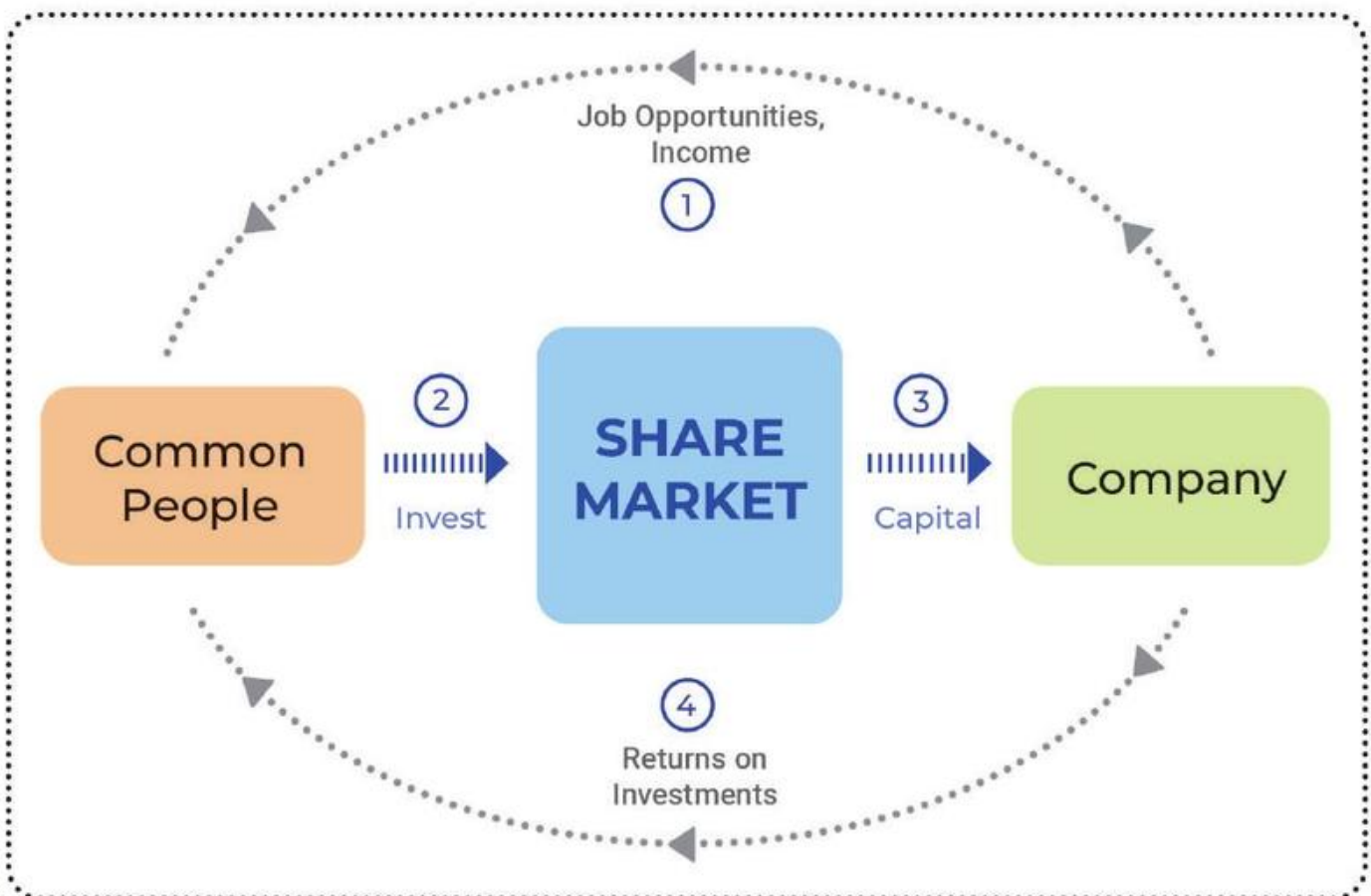
Stock market is a platform that channelizes the flow of capital from ordinary people to larger enterprises in the country, who then invest this money in their operations to grow their business.

What happens when these large companies grow?

As companies grow, more job opportunities are created, more income is earned by working class and the economy eventually as a whole grows. Since more money is dispersed to the general public, it leads to more savings which in turn means more money will be invested in the future for growth. It leads to a cycle of economic development. That is why a robust stock market is very important for an economy to do well.

Now imagine, if our money was kept idle at home rather than being invested, this cycle of economic development would not go through.

Therefore, the stock market performs a very crucial role in the development of any economy.



Stock markets essentially exist to maintain a continuous flow of money from common people to companies, which then goes back to common people and then again to companies.